

How to Choose the Right Stock to Purchase

Lesson 1: Introduction to Stocks

Introduction to Stocks – Study Notes

Key Concepts

1. **What a Stock Is** – A share of ownership in a corporation.
2. **Ownership Rights** – Voting, dividends, and claim on assets.
3. **Why People Invest** – Capital appreciation, income, diversification, and participation in company growth.
4. **Types of Stocks** – Common vs. preferred; growth vs. value.
5. **Risk & Reward** – Potential gains vs. market volatility.

Summary

A **stock** (or share) represents a fractional ownership stake in a company. When you buy a stock, you become a shareholder and acquire certain rights, such as voting on major corporate matters, receiving a portion of the company's profits through dividends (if declared), and having a residual claim on assets if the company liquidates.

People invest in stocks for several reasons. The most common motive is **capital appreciation**—the hope that the share price will rise over time, allowing the investor to sell at a profit. Stocks also provide **income** via dividends, which can be especially attractive for long term investors seeking cash flow. Additionally, stocks help diversify an investment portfolio, spreading risk across different asset classes and sectors. While stocks historically deliver higher returns than bonds or cash, they also come with higher volatility, meaning their prices can swing dramatically in the short term.

Important Points

- **Ownership vs. Control:** Owning a single share gives you a tiny slice of ownership, but voting power is proportional to the number of shares you hold.
- **Dividends:** Not all companies pay dividends; growth oriented firms often reinvest earnings back into the business.
- **Common vs. Preferred Stock:**
 - **Common** – voting rights, variable dividends, last claim on assets.
 - **Preferred** – usually no voting rights, fixed dividends, priority over common shareholders for asset claims.
- **Market Price Influences:** Company performance, industry trends, economic data, investor sentiment, and news events all affect stock prices.
- **Risk Management:** Diversify across sectors, use dollar cost averaging, and consider your time horizon before buying stocks.

Examples

Example 1 – Buying a Common Stock

*Emily purchases 100 shares of **TechCo** at \$20 per share.*

- **Investment:** $100 \times \$20 = \$2,000$.
- **Ownership Rights:** She now owns a small percentage of TechCo and can vote at the annual shareholder meeting.
- **Potential Returns:**
 - If TechCo's price rises to \$30, her shares are worth \$3,000 !' \$1,000 gain.
 - If TechCo declares a \$1 per share dividend, she receives \$100 in cash.

Example 2 – Preferred Stock for Income

*James buys 50 shares of **UtilityCo** preferred stock at \$25 each, with a 5% annual dividend.*

- **Investment:** $50 \times \$25 = \$1,250$.
- **Dividend Income:** 5% of \$1,250 = \$62.50 per year, paid quarterly (\$15.63 each quarter).
- **Risk Profile:** Preferred shares are less volatile than common shares and have priority if the company liquidates, making them attractive for income focused investors.

Quick Review

1. **What does a stock represent?**
2. **Name two primary ownership rights that come with common stock.**
3. **Why might an investor choose a growth stock over a dividend paying stock?**
4. **What is the main difference between common and preferred stock?**
5. **List one way to reduce risk when investing in stocks.**

Further Reading

- **Stock Market Mechanics:** How exchanges and brokers work.
- **Fundamental vs. Technical Analysis:** Evaluating stocks.
- **Diversification Strategies:** Building a balanced portfolio.
- **Tax Implications of Stock Investing:** Capital gains and dividend taxation.
- **Behavioral Finance:** How psychology influences market movements.

